COUNTY COUNSEL IMPARTIAL ANALYSIS OF MEASURE Z
MERCED UNION HIGH SCHOOL DISTRICT GENERAL OBLIGATION BOND FOR FACILITIES IMPROVEMENT DISTRICT NO. 3

State law authorizes school districts to form school facilities improvement districts consisting of a portion of the territory within a school district for the purposes of conducting a bond election and issuing bonds. The Merced Union High School District ("District") has formed three facilities improvement districts. This bond measure analysis is provided in accordance with Elections Code section 9500, *et seq*., which authorizes a school district's issuance of general obligation bonds for specific school district purposes. This proposed measure would authorize the District to issue and sell bonds in the amount of up to $129,000,000 for facilities improvements within Improvement District No. 3 which covers the District's El Capitan, Merced, and Golden Valley High School Areas.

Issued bonds would be repaid by tax levies on non-exempt taxable property within the District. There is no assurance or guarantee the District will issue the maximum amount of the bonded indebtedness authorized; or that beyond revenues generated, the proposed projects will be funded by matching State funds sufficient to complete them.

According to the Tax Rate Statement submitted by the District, the best estimate of the highest *ad valorem* tax which would be levied on taxable property to repay the bonds over their term is $30.00 per year per $100,000 of assessed value. The best estimate from official sources of the total debt service, including principal and interest, is that $281,756,000 would be required to be repaid if all the bonds are issued and sold. The final year in which the tax is anticipated to be collected is fiscal year 2062-63.

No proceeds authorized by this measure can be used for District salaries or administrative and operating expenses. Proceeds can only be used for the purposes stated in the measure. Both annual and independent financial audits and oversight by an appointed citizen's committee for performance, utilization, and compliance must be conducted under the measure and by law. The citizen's committee cannot include any District vendors or employees.

Approval of this measure requires the affirmative vote of 55% of the qualified voters.

A "YES" vote is a vote in favor of authorizing the Merced Union High School District to issue and sell up to $129,000,000 in general obligation bonds to be secured by a property tax increase on lands located within School Facilities Improvement District No. 3.

A "NO" vote means the voter is against authorizing the Merced Union High School District to issue and sell up to $129,000,000 in general obligation bonds.

This measure is placed on the ballot by the Merced Union High School District.

Merced County Counsel
Forrest W. Hansen

/s/ Thomas E. Ebersole, Assistant County Counsel